

Rigetti Computing, Inc.

RGTI NASDAQ

Hold	\$22.70 ▲ 8.20%	12M Price Target \$21.00	52-Week Range \$10.30 – \$58.15	Market Cap \$7.55B
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RGTI: Quantum Rally Continues; Reiterate Hold on Stretched Valuation

WHAT'S CHANGED

- RGTI +8.2% to \$22.70 on ~44.7M shares as quantum complex rallies broadly (QUBT, QBTS +12%, IONQ +6%); move extends a 4-day +15% run off the \$19.44 low on June 10.
- Options skew aggressively bullish (P/C 0.33) with 5,146 contracts of June \$23.5 calls (2.9x OI) — but offset by cluster insider selling: Director Johnson sold \$2.6M on 6/8 and CEO Kulkarni sold \$1.49M on 6/1 at \$24.38.

IMPLICATIONS

The rally is sentiment-driven rather than fundamentally catalyzed — no SEC filings, no earnings revision, just a risk-on rotation into quantum names amplified by the Barron's/Motley Fool coverage cycle. For RGTI specifically, this re-rates the stock toward ~\$7.5B market cap against sub-\$25M run-rate revenue, meaning incremental upside increasingly depends on milestone validation (qubit fidelity, gate count, government contract wins) rather than multiple expansion. Insider selling at \$21–24 from both the CEO and a Director is a notable tell that internal stakeholders view current levels as monetization opportunities, not accumulation zones.

VALUATION

At \$7.55B market cap on ~\$22M FY26E revenue, RGTI trades at ~340x forward sales — multiples ahead of IONQ and well above any rational DCF anchor, reflecting embedded option value on fault-tolerant quantum computing rather than near-term cash flows. Our \$21 PT is derived from a probability-weighted scenario blend (60% base / 25% bull / 15% bear) capped by peer-relative EV/Revenue compression risk. Sustained re-rating requires either a discrete commercial contract announcement >\$50M or a credible path to 1,000+ logical qubits — absent those, the multiple is vulnerable to a 30–50% drawdown on any sector de-risking event.

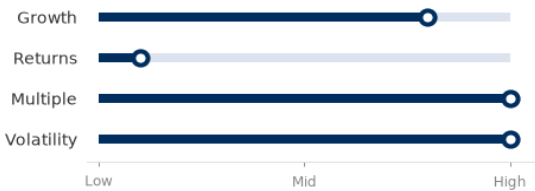
KEY RISKS

- Technology risk: error correction and qubit scaling timelines slip vs. IBM/Google/IONQ roadmaps, eroding RGTI's relevance in the modular superconducting niche.
- Dilution risk: cash burn of ~\$70-90M annually against limited revenue likely necessitates additional equity raises; recent ATM activity has been a recurring overhang.
- Sentiment reversal: quantum names trade as a correlated basket — a single negative catalyst (QUBT/QBTS earnings miss, government contract loss) would compress the entire group.

Key Data

Price (USD)	\$22.70
12M Price Target	\$21.00
Upside / (Downside)	-7.5%
Market Cap	\$7.55B
FY2026E Revenue	\$22M
FY2027E Revenue	\$38M
FY2026E EPS	(\$0.32)
FY2027E EPS	(\$0.28)
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$28.00	\$22.00	\$17.00
6 Months	\$35.00	\$21.00	\$13.00
1 Year	\$45.00	\$24.00	\$11.00
2 Years	\$60.00	\$28.00	\$8.00
5 Years	\$120.00	\$40.00	\$5.00
10 Years	\$250.00	\$60.00	\$3.00

SECTOR INTELLIGENCE

HOT SECTORS: Technology (+3.78% 1D), Materials (+5.08% 5D)

COLD SECTORS: Communication Services (+0.48% 1D), Utilities (+0.47% 1D)

ROTATION WATCH: Risk-on rotation into high-beta tech and unprofitable growth is back in force, fueled by easing rate expectations and AI capex narrative spillover into adjacent compute themes (quantum, neuromorphic).

BYPRODUCT PLAY: Cryogenic infrastructure (BKSJ, MKSI), quantum networking (cybersecurity post-quantum encryption plays like PANW, CRWD), and quantum-as-a-service hyperscalers (AMZN Braket, MSFT Azure Quantum) capture quantum upside with lower binary risk.

OUTPERFORMERS & PEER CONTEXT

- QUBT (Quantum Computing Inc.): +12% today, leading the basket — speculative leader in photonic quantum with smaller float amplifying moves.
- QBTS (D-Wave Quantum): +12%, benefiting from annealing-based commercial traction and recent earnings momentum.

RGTI CONTEXT: RGTI's +8.2% lags the speculative QUBT/QBTS pair but outpaces IONQ (+6%), positioning it in the middle of the quantum basket. The stock remains at just 26% of its 52-week range despite the rally, indicating significant residual selling pressure from the \$58 peak — RGTI is participating but not leading, consistent with its more measured fundamental profile.

INVESTMENT STRATEGY

4/10 Conviction Score

Position Size: 0.5-1.5% of portfolio (speculative sleeve)

Entry Points: \$14-17 on sector pullbacks

Time Horizon: 12-36 months

Thesis Invalidation: Failure to scale beyond 100+ qubit milestones or DARPA/government program loss

Hedging: Pair long RGTI with short IONQ or long QTUM ETF to neutralize quantum beta